

Outlook

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The servicing economics on participated loans need a check - 2024 control review

Morning,

I need help with something that sounds simple but probably is not.

Treasury and Lending need to understand whether originated, serviced and participated loans behave differently after booking. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure.

The questions I would ask in the room are:

1. What would we expect to see if participated loans have different payment timing?
2. What evidence would instead support that risk share and customer behaviour are being confused?
3. How do we rule out that servicing-bank arrangements create operational exceptions?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use January 2024 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether participation terms, servicing controls or reporting need to change. A useful output would be a Power BI page with drill-through to a reproducible case list.

Use loan participation and servicing records available by the request date; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments. One caution: The files support servicing and behavioural analysis, not external-bank accounting or legal settlement confirmation.

Regards